

6 April 2021

Liz Lindberg
Senior Investigator/Conciliator
Australian Human Rights Commission
Level 3, 175 Pitt Street
Sydney NSW 2000

Complaint from Dr Richard McLean (ref: 2020-09751)

Dear Ms Lindberg

Thank you for your correspondence dated 10 March 2021 advising of the complaint by Dr Richard McLean (**the Complainant**) against TAL Life Limited (**TAL**).

The complaint relates to TAL's decisions to decline the Complainant's application for income protection (**IP**) and Total and Permanent Disablement (**TPD**) cover (**the Complaint**).

We provide an outline of our response to the Complaint below, which we are happy to discuss further with you.

For the reasons that follow, TAL considers its decision was fair and reasonable and did not contravene the *Disability Discrimination Act 1992 Cth* (DDA).

Before addressing TAL's actions in the context of the DDA, we set out the background and information obtained by TAL through the application process.

Background

TAL notes the following background:

- AustralianSuper Pty Ltd (AustralianSuper) (in its capacity as Trustee) holds group life (including disability) and income protection policies for the benefit of eligible AustralianSuper members with its insurer, TAL.
- As AustralianSuper's insurer, TAL is responsible for assessing all underwritten insurance applications.

TAL Life Limited

ABN 70 050 109 450 | AFSL 237848
PO Box 5380, Sydney NSW 2001
Level 16, 363 George Street
Sydney NSW 2000

P +61 2 9448 9000
F +61 2 9448 9100
W tal.com.au

Customer Service
P 1300 209 088
E customerservice@tal.com.au

- On 12 March 2020, the Complainant submitted an Application (**The First Application**) to obtain Total and Permanent Disablement (TPD) and Income Protection (IP) cover with AustralianSuper as follows:
 - TPD: Fixed Cover Amount of \$30,000;
 - IP: Monthly Benefit of \$3,100, Waiting Period: 30 Days and Benefit Period to Age 65.
- In broad terms:
 - TPD cover provides a lump sum on an inability or unlikelihood of working again.
 - IP cover provides a benefit on a monthly basis for conditions that can cause time off work.
- On 16 March 2020, TAL requested further information from the Complainant's doctor in order to review the First Application.
- On 21 May 2020, TAL notified AustralianSuper that following its review of the Complainant's First Application, together with additional medical information, the First Application was declined due to mental health history noted in medical report received from Dr R Mackinnon.
- On 7 June 2020, the Complainant requested a copy of the medical information relied upon by TAL to make its decision.
- On 27 July 2020, TAL wrote to the Complainant and provided the medical information as requested.
- On 10 August 2020, TAL was notified of the Complainant's initial Complaint.
- On 12 October 2020, TAL submitted its Internal Dispute Resolution (IDR) response to AustralianSuper (**Annexure 1**).
- On 16 October 2020, TAL received a new Application (**The Second Application**) by the Complainant to obtain Total and Permanent Disablement (TPD), Income Protection (IP), and Death cover with AustralianSuper dated 9 October 2020 as follows:
 - TPD: Age-Based Cover Amount of \$23,000, with Fixed Cover Amount of \$500,000;
 - IP: Monthly Benefit of \$4,000, Waiting Period: 60 Days and Benefit Period to Age 65;
 - Death: Age-Based Cover Amount of \$107,000.

In contrast to the First Application, in the Second Application the Complainant did not disclose any medical history.

- On 23 October 2020, TAL advised the Complainant that his requests for TPD and IP cover in his Second Application had been declined.

The Underwriting Assessment

First Application

TAL notes that in the First Application, the Complainant disclosed the following information:

Previous Claim

- The claim for illness had been finalised;
- The Complainant has made a full and complete recovery from the condition for which he claimed for;
- He has been fully recovered for more than five (5) years;
- He took between one and three months off work;
- He had been diagnosed with schizophrenia at age 21 but had made a complete recovery;

Colon Cancer

- One immediate family member had been diagnosed with colon (bowel) cancer before the age of 50.

Depression

- The Complainant noted that he had been diagnosed “apparently with schizophrenia’ in 1994;
- He wrote a book on it called Recovered, Not Cured, a journey through schizophrenia;
- He has no current symptoms, no restrictions in performing his usual work duties and/or daily activities;
- Last experienced symptoms over a decade ago;
- Condition is under control
- Complainant has always worked;
- He has not been admitted to hospital;
- Taken some antipsychotics and antidepressants. Currently does not take any antipsychotic medication;
- He does not see a doctor but has notified his General Practitioner (GP), Dr Simon Cooper (Dr Cooper) at Yarraville Medical Clinic;
- The Complainant had considered/attempted suicide or self- harm once when he was not believed regarding his sexual abuse;
- The Complainant noted that he now assists people with mental illness/’skillness’ (as referred to by the Member in the application).

Other Medical Information Obtained

Based on the Complainant’s disclosures in the First Application, TAL obtained a Medical Attendant report from the Complainant’s GP, Dr Cooper dated 22 April 2020 and a report from the Complainant’s psychologist, Dr Mackinnon dated 14 May 2020, which revealed the following:

Dr Cooper

- The Complainant has been diagnosed with long-standing adult ADHD.
- Professor David Horgan diagnosed the Complainant with schizophrenia in 2016.
- The medical notes record that the Complainant was prescribed Dexamphetamines, Solian and Prozac (fluoxetine) and Valium to treat his mental health condition. Current medication Dexamphetamine 30mg daily. Solian 200mg nightly and Paroxetine(Paxil) 20mg in the morning.
- Clinical notes also record that the Complainant’s condition was currently settled, and that the Complainant had completed a PhD at university.

- The Complainant's last consultation with Dr Cooper was on 8 April 2020, for a mental health review.

Dr Mackinnon

- Dr Mackinnon first treated the Complainant in September 2015 due to stress, which the Complainant thought may cause psychotic symptoms.
- The Complainant provided Dr MacKinnon with a report of a diagnosis of schizophrenia in 1990.
- Dr Mackinnon diagnosed the Complaint with PTSD in July 2017 following an assault. The Complainant has worked with this and ceased treatment.
- The Complainant has required breaks from studies due to mental health.
- Dr MacKinnon noted that the Complainant recently re-engaged for two sessions, but is not able to provide any diagnosis at this stage.

Further information from the Complainant

By email on 28 April 2020, the Complainant provided the following further information:

- He is no longer taking any medications for psychosis;
- He takes 20mg paroxetine daily which is an antidepressant that he has been on for over a decade;
- He takes 5mg Valium at night to help him get to sleep;
- He takes 15mg Dexamphetamine in the morning. The Complainant also noted that Dexamphetamine is utilised for drug resistant depression and motivates him to be engaged with the day, results in him not berating himself should he not get a lot done;
- He had been seeing Psychologist, Dr Mackinnon, for a number of years;
- The Complainant works as a therapist to assist people through the National Disability Insurance Scheme (NDIS), and he uses Dr Mackinnon to 'unpack' sometimes stressful work.

The Underwriting Guidelines

TAL applied underwriting guidelines in its assessment of the Complainant's application. The Underwriting Guidelines which applied required TPD and IP cover to be declined having regard to the information obtained is discussed further below.

TAL's actions did not contravene the DDA

It can be seen that TAL's decision had regard to, amongst other things:

- the Complainant's answers in the relevant applications;
- additional material it obtained including medical information from the Complainant's doctors; and
- relevant underwriting guidelines that apply to the assessment of such applications as described below.

Direct Discrimination

Sections 5 of the DDA make it unlawful to engage in direct discrimination unless a relevant exception applies.

Pursuant to section 5 of the DDA, two limbs must be satisfied for direct discrimination to exist:

1. The discriminator treats, or proposes to treat, the aggrieved person less favourably than a person without the disability in circumstances that are not materially different; and
2. The differential treatment is on the ground of the aggrieved person's disability.

The High Court in *Purvis v State of New South Wales* (2003) 217 CLR 92 at page 161 [224], per Gummow, Hayne and Heydon JJ, identified the appropriate approach to the comparison required in deciding whether conduct came within the definition of direct disability discrimination:

The circumstances referred to in s 5(1) are all of the objective features which surround the actual or intended treatment of the disabled person by the person referred to in the provision as the "discriminator". It would be artificial to exclude (and there is no basis in the text of the provision for excluding) from consideration some of these circumstances because they are identified as being connected with that person's disability. There may be cases in which identifying the circumstances of intended treatment is not easy. But where it is alleged that a disabled person has been treated disadvantageously, those difficulties do not intrude. All of the circumstances of the impugned conduct can be identified and that is what s 5(1) requires. Once the circumstances of the treatment or intended treatment have been identified, a comparison must be made with the treatment that would have been given to a person without the disability in circumstances that were the same or were not materially different.

There is no evidence of less favourable treatment.

Any individual who applied for cover with a similar medical history to that of the Complainant would have been treated in the same way, and not any more favourably, than the Complainant has been.

Having regard to all of the above, the elements of direct discrimination have not been established.

Section 46 exemption

Section 46 of the DDA relevantly provides that, discrimination in relation to the provision of insurance or superannuation by refusing to offer a product, is not unlawful if

- the discrimination is based upon actuarial or statistical data on which it is reasonable to rely; and
- and the discrimination is reasonable having regard to the matter of the data and other relevant factors.

The decision as to whether an application for cover is insurable or uninsurable is made by an underwriter using underwriting guidelines.

The relevant underwriting guidelines which applied to the Complainant's medical history are enclosed. Please note that the underwriting guidelines are **commercial in confidence** and must not be provided to any third party (other than AustralianSuper and the Complainant) (**Annexure 9**).

TAL acted consistently with the underwriting guidelines noting the guidelines provided for the following in relation to the disclosed conditions:

- *Post-Traumatic Stress Disorder*: The guidelines require a decline TPD and IP cover noting the most recent symptoms within five years

- *Schizophrenia*: Decline TPD and IP cover where multiple episodes have occurred or within 5 years of a single episode. (Professor David Horgan's diagnosis in 2016, Diagnosis in 1990 report provided to Dr MacKinnon, Complainant's statements of diagnosis in 1994 at age 21);
- *Attention Deficit Hyperactivity Disorder (ADHD)*: Decline TPD and IP cover in the presence of any psychiatric condition.

TAL also sought an opinion from its Chief Medical Officer (**CMO**) before determining the First Application. The CMO's opinion considered the diagnosis of Post-Traumatic Stress Disorder (PTSD), as well as schizophrenia and ADHD, and opined that the application for disability cover should not be accepted based on the history of the multiple mental health conditions.

The steps TAL took before declining the cover applied for underscore that TAL went through thorough, proper and considered processes before declining the application for TPD and IP cover.

TAL's decision used underwriting guidelines which applied to applications for cover under the relevant policy.

Unlike general insurance which can be renewed on an annual basis, TPD and IP cover are long term contracts. Applications for TPD and IP cover require careful consideration at the time of application due to nature of life insurance contracts where cover cannot be assessed again if a customer's health changes.

In all the circumstances TAL considers its decision was fair and reasonable and falls within the section 46 exemption in the DDA.

Unjustifiable Hardship

TAL also submits that accepting the Complainant's application for cover would cause TAL unjustifiable hardship within the meaning of the DDA and therefore its decision was not unlawful having regard to:

1. TAL's inability to obtain reinsurance of the Application; and
2. TAL's prudential obligations and the group insurance market.

In terms of the first point, the offering of any cover would have breached the reinsurance guidelines and TAL would not have had reinsurance support.

In terms of the second point, cover that is available under group insurance schemes has generally been less expensive than other types of cover due to a number of factors. For example, there are cost advantages for the insurer due to the large number of people covered.

That being said, in reviewing applications for underwritten insurance cover under group insurance policies, TAL must have regard to the sustainability of the fund and future claims experience.

In more recent times, pricing pressures have confronted group insurers due to, among other things, a significant increase in the amount and number of insurance claims being made as well as the period for which an insurer is liable to pay claims. These pricing pressures challenge the sustainability of group

insurance offerings and any increase in premium rates will have an effect on members' retirement benefits.

The acceptance of persons where the risk for income protection cover is unacceptably high would necessarily cause premiums for all insured members to increase. APRA has also expressed their concerns with the sustainability of income protection cover.

TAL submits that its prudential obligations are such that underwriting unacceptable risks would cause it unjustifiable hardship particularly when coupled with not having reinsurance support for such risks. Therefore, whilst TAL sympathises with the Complainant's position, TAL has prudential obligations, which compel it not to accept risk, where the risk is unacceptably high.

Enclosures

TAL notes documents have been provided to the Commission.

For completeness, however, TAL encloses the following:

Medical information

We refer to and rely upon the medical information as outlined in TAL's IDR response dated 12 October 2020. Password protected documents are protected with the Complainant's date of birth in DD/MM/YYYY format.

We enclose copies of:

- Report from Yarraville Village Family Medical Centre (**Annexure 1**);
- Report from Psychology on Parade, Dr R MacKinnon dated 19 May 2020 (**Annexure 2**)
- CMO opinion of Dr Lauren Connor dated 28 April 2020 and 12 June 2020 (**Annexure 3**)

Relevant information about the Complainant

We enclose a copy of:

- The First Application:
 - Customer Disclosure Confirmation dated 12 March 2020 (**Annexure 4**);
 - Policy Declaration dated 12 March 2020 (**Annexure 5**).
- The Second Application:
 - Customer Disclosure Confirmation dated 9 October 2020 (**Annexure 6**);
 - Policy Declaration dated 9 October 2020 (**Annexure 7**).
 - Email from Complainant dated 28 April 2020 (**Annexure 8**).

Underwriting Guidelines

Relevant extracts of the underwriting guidelines (**Annexure 9**)

Conclusion

TAL submits that it acted in a proper manner and has not contravened the DDA noting:

- In assessing the Complainant's application for cover, TAL correctly applied the relevant underwriting guidelines, having regard to the Complainant's medical history and concluded that it was unable to provide the Complainant cover on any terms;
- TAL's decision to refuse cover to the Complainant does not constitute discrimination within the meaning of the DDA;
- The insurance exemption in section 46 of the DDA applies;
- Offering the Complainant the cover requested would cause an unjustifiable hardship within the meaning of the DDA;

Conciliation

TAL confirms it is willing to attend a conciliation in relation to the Complaint.

We reserve the right to put on further information if required.

We are also happy to discuss any aspect of this response or the Complaint. Should you have any enquiries, please direct these to ComplaintsResolutionTeam@tal.com.au

Kind regards

TAL Life Limited